SQC 2025
Unit Economics for Startups

EJ Arboleda, Taxumo
Sep 30, 2025

What are Unit Economics?

- Definition: Direct revenues and costs for a single unit of product/service
- Helps answer: 'Are we making money per unit?'

Why Unit Economics Matter

- Shows sustainability beyond growth
- Investors look for positive unit economics
- Avoids the 'growth at all costs' trap

Key Metrics

- Customer Acquisition Cost (CAC): Cost to acquire a customer
- Customer Lifetime Value (LTV): Revenue from a customer over time
- Contribution Margin: Revenue – Variable Costs per unit

CAC Explained

- Formula: CAC = Total Marketing + Sales Spend ÷ New Customers
- Example: $10,000 spend → 100 customers → CAC = $100

LTV Explained

- Formula: LTV = ARPU × Gross Margin × Customer Lifetime
- Example: $20/month ARPU × 70% margin × 24 months = $336 LTV

LTV Explained: ARPU

- Formula: LTV = **ARPU** × Gross Margin × Customer Lifetime
- Example: $20/month ARPU × 70% margin × 24 months = $336 LTV

$$ARPU = \frac{\text{Total Revenue in Period}}{\text{Number of Paying Customers in Period}}$$

- **Example**
  - Suppose your SaaS startup makes $50,000 in revenue in one month
  - You have 1,000 active paying customers that month
  - ARPU = $50,000 ÷ 1,000 = $50/month

LTV Explained: Gross Margin

- Formula: LTV = **ARPU** × Gross Margin × Customer Lifetime
- Example: $20/month ARPU × 70% margin × 24 months = $336 LTV

$$\text{Gross Margin (\%)} = \frac{\text{Revenue} - \text{COGS}}{\text{Revenue}} \times 100$$

- **Example**
  - Revenue: $100,000
  - COGS: $40,000
  - Gross Margin = (100,000−40,000)÷100,000×100(100,000−40,000)÷100,000×100 = 60%

LTV Explained: Customer Lifetime

- Formula: LTV = **ARPU** × Gross Margin × Customer Lifetime
- Example: $20/month ARPU × 70% margin × 24 months = $336 LTV

$$\text{Customer Lifetime (in periods)} = \frac{1}{\text{Churn Rate}}$$

- **Example**
  - You have 1,000 customers at the start of the month
  - You lose 50 customers by the end of the month
  - Monthly churn = 50 ÷ 1,000 = 5%
  - Customer lifetime = 1 ÷ 0.05 = 20 months

LTV Explained: Churn

$$\text{Churn Rate} = \frac{\text{Customers Lost in Period}}{\text{Customers at Start of Period}}$$

- **Example:**
  - Start of month: 1,000 customers
  - End of month: 950 customers (so 50 churned)
  - Churn = 50 ÷ 1,000 = 5% monthly churn

LTV Explained: Churn

- For a Startup in the Planning Stage (no customers yet)
- This is tricky because churn is unknown. You can:

1. **Use industry benchmarks** as a starting point:
    - SaaS (SMB-focused): 3–7% monthly churn
    - SaaS (Enterprise-focused): 1–2% monthly churn
    - Consumer subscription boxes: 7–10% monthly churn
    - Mobile apps (freemium): much higher, 10–30% monthly churn
2. **Run small experiments / MVP tests**: even a few dozen paying customers can give you early churn signals.
3. **Be conservative in financial models**: assume higher churn at first, then adjust when you get real data.

The Golden Ratio

- LTV:CAC should ideally be **3:1**
  - If LTV <1: Unsustainable
  - If LTV >5: Might be under-investing in growth

Contribution Margin

- Contribution Margin = Revenue – Variable Costs
- Example: $100 revenue – $40 variable costs = $60 margin
- Must be positive to scale sustainably

COGS vs Variable Costs

- COGS = All direct costs of delivering product/service (some fixed, some variable)
- Variable Costs = Only the costs that scale directly with each additional unit/customer
- Most variable costs are in COGS, but not all COGS are variable.

COGS vs Variable Costs (example)

- Sample: Subscription Box
- Revenue per box: $25
- COGS includes:
- Box materials & items ($10 → variable)
- Shipping ($5 → variable)
- Warehouse lease ($5k/month → fixed, but in COGS)
- Variable Costs = materials + shipping
- Fixed COGS = warehouse lease
- Contribution Margin = $25 – ($10 + $5) = $10 per box.

Break-Even Analysis

- Formula: BreakEven = Fixed Costs ÷ Contribution Margin per unit

- Subscription box startup:
  - Revenue per box: $25
  - Variable costs: $15
  - Margin: $10
  - Fixed costs: $20,000 → Break-even: 2,000 boxes

Common Mistakes

- Ignoring churn in LTV
- Underestimating hidden costs (support, refunds)
- Over-relying on discounts to drive growth

Action Steps for Startups

- Calculate CAC and LTV honestly
- Track churn and retention
- Improve margins via pricing/cost optimization
- Monitor ratios monthly

Takeaways

- Unit economics = business health check
- Positive unit economics are crucial for survival
- Use them as a compass for scaling decisions

Discussion

- How does your startup's unit economics look?
- What levers can you pull to improve them?

Discuss!

Turn to your seatmate and discuss the following:

1. How does your startup's unit economics look?
2. What levers can you pull to improve them?

Break!

Any questions?

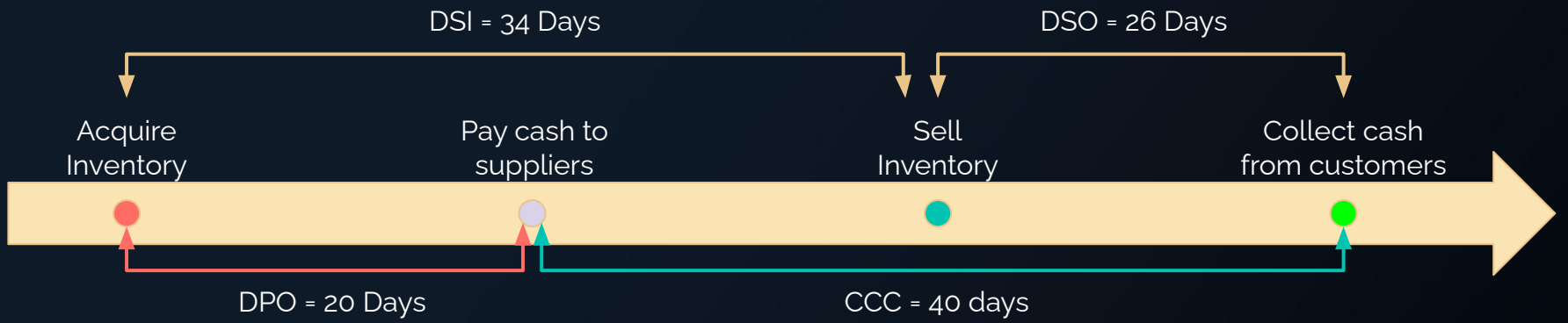
Game!

Let's make it a great morning!

SQC 2025
Working Capital Management

EJ Arboleda, Taxumo
Sep 30, 2025

Cash Conversion Cycle (CCC)



Total Days of Financing needed (DSI + DSO) = 60 days
Days of Financing provided by suppliers (DPO) = 20 days
Remaining Days of Financing needed = 40 days

Day Sales in Inventory (DSI)

$$\text{DSI} = \frac{365}{\text{Inventory Turnover}}$$

$$\text{DSI} = \frac{365}{\left(\frac{\text{Cost of Goods Sold}}{\text{Average Inventory}}\right)}$$

Note: If you are using quarterly figures use 90

Day Sales in Inventory (DSI)

For Services: we use **WIP** (Work in Progress)

- Average duration it takes to finish a service and send an invoice

Day Sales in Inventory (DSI)

Example: XYZ Corporation

Cost of Goods Sold = ₱100M

Beginning Inventory = ₱20M

Ending Inventory = ₱30M

Day Sales in Inventory (DSI)

Example: XYZ Corporation

Cost of Goods Sold = ₱100M

Beginning Inventory = ₱20M

Ending Inventory = ₱30M

$$\text{Avg Inventory} = \frac{₱20M + ₱30M}{2} = ₱25M$$

$$\text{Inventory Turnover} = \frac{\text{COGS}}{\text{Avg Inventory}} = \frac{₱100M}{₱25M} = 4$$

XYZ Corp sells its inventory about 4 times in a year.

$$\text{DSI} = \frac{365}{\text{Inventory Turnover}} = \frac{365}{4} = 91.25$$

It takes XYZ about 91 days to sells its inventory.

Day Sales in Inventory (DSI)

GOOD:

↓ DSI = ↑ Inventory Turnover

- Company is selling inventory quickly
- Less capital tied up in inventory & lower inventory holding costs
- Less likely for inventory to become obsolete or spoiled
- Fewer Inventory Writedowns

Day Sales in Inventory (DSI)

GOOD:

↓ DSI = ↑ Inventory Turnover



Cash conversion cycle
- aka cash-to-cash cycle

Cash Conversion Cycle = DSI + DSO - DPO
DSI = Days Sales in Inventory
DSO = Days Sales Outstanding
DPO = Days Payables Outstanding

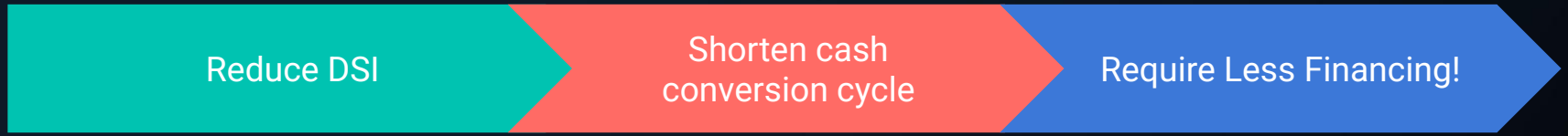
Day Sales in Inventory (DSI)



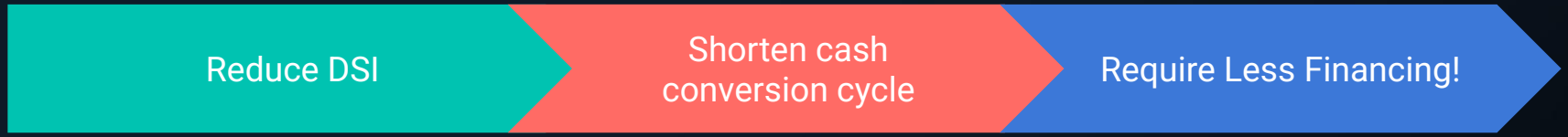
Cash Conversion Cycle = DSI + DSO - DPO
DSI = Days Sales in Inventory
DSO = Days Sales Outstanding
DPO = Days Payables Outstanding

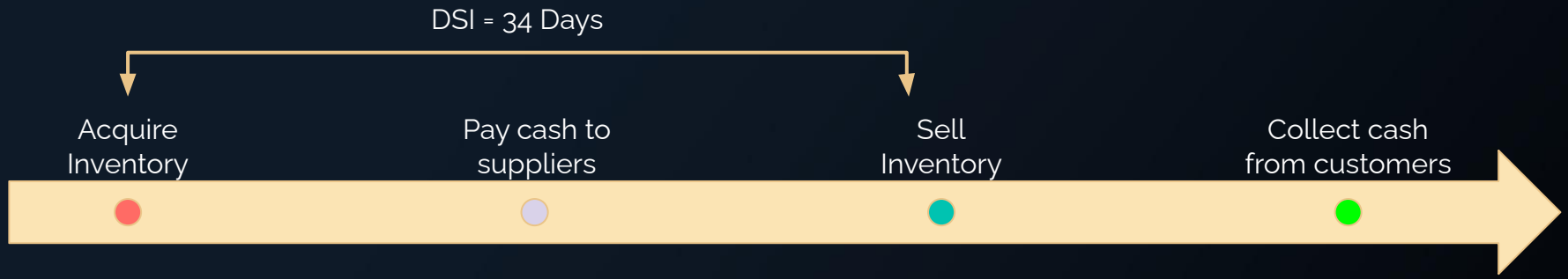


Day Sales in Inventory (DSI)

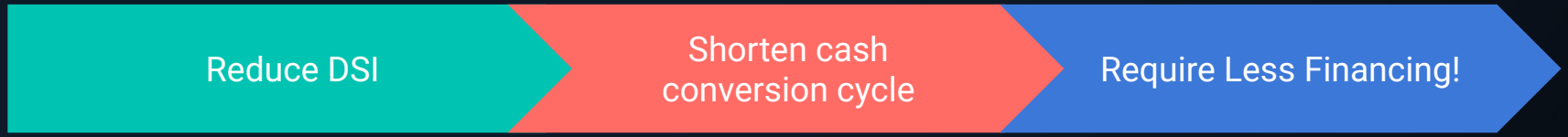


Day Sales in Inventory (DSI)



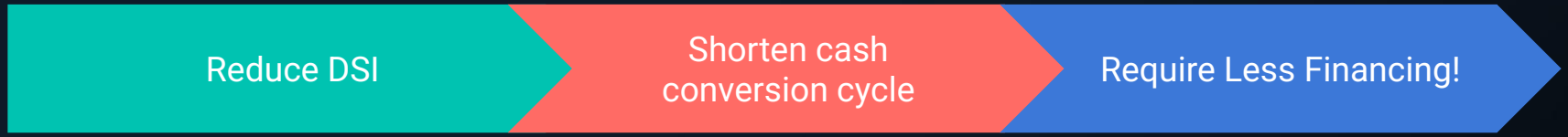


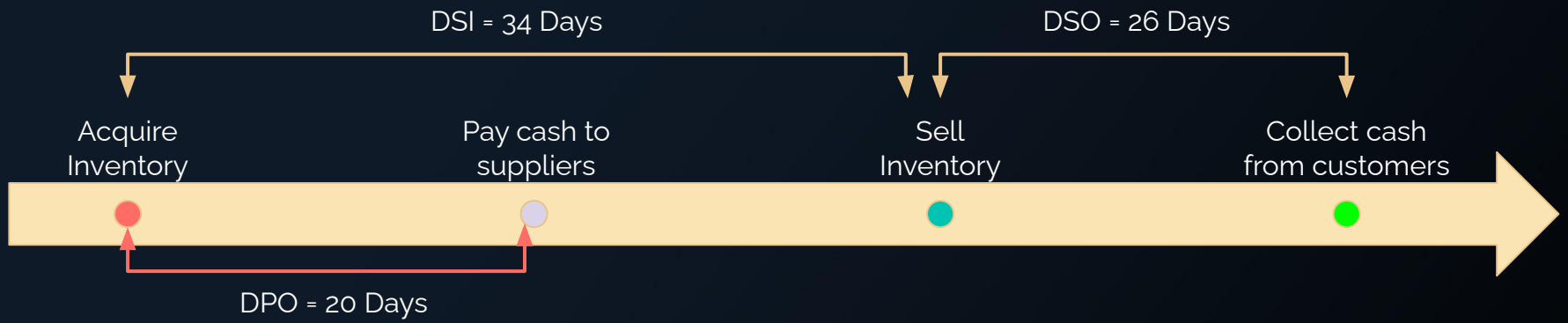
Day Sales in Inventory (DSI)



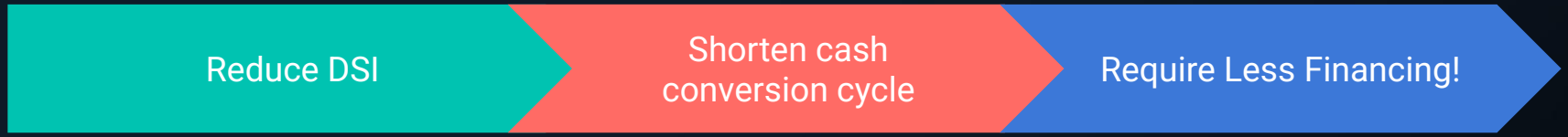


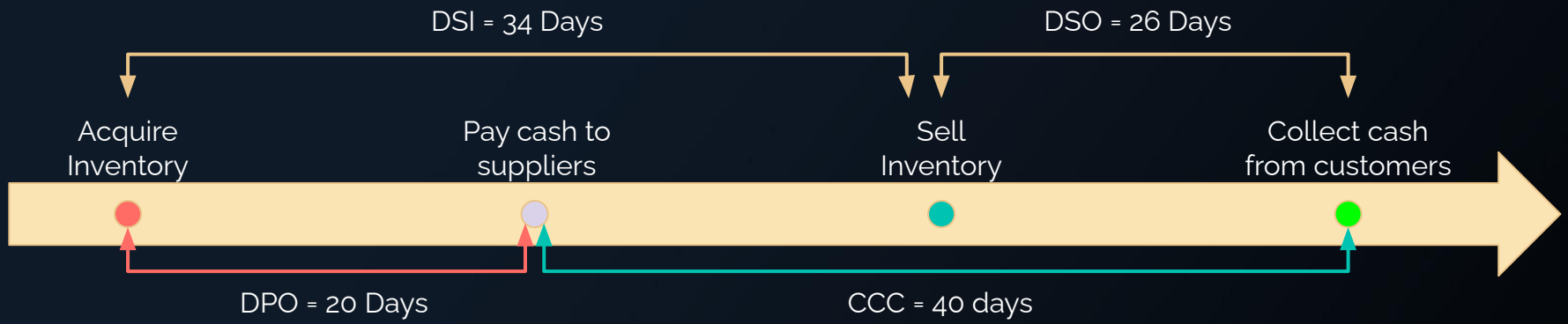
Day Sales in Inventory (DSI)





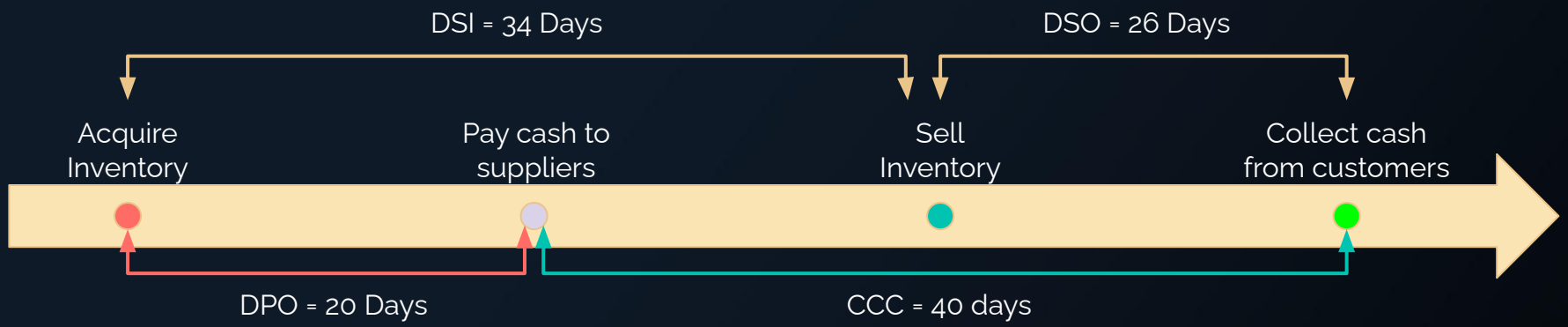
Day Sales in Inventory (DSI)





Total Days of Financing needed (DSI + DSO) = 60 days
Days of Financing provided by suppliers (DPO) = 20 days
Remaining Days of Financing needed = 40 days

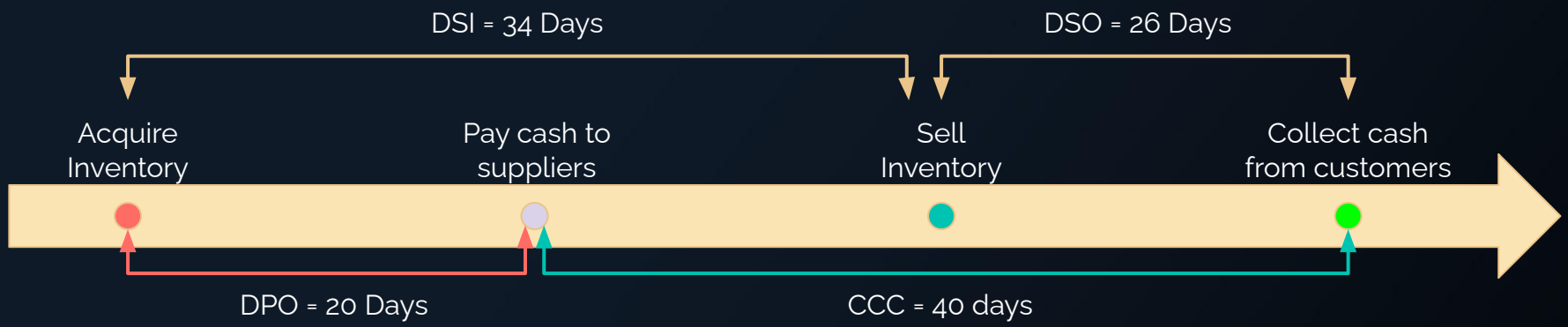
Day Sales in Inventory (DSI)



Ways to Finance Inventory:

- Borrow Money
- Raise capital from investors
- Use capital the company already has on hand

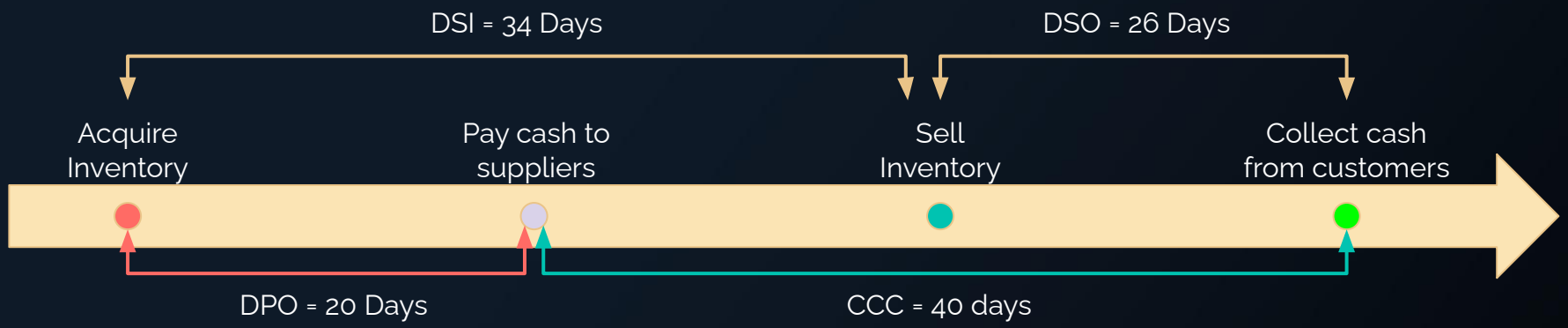
Day Sales in Inventory (DSI)



Ways to Finance Inventory:

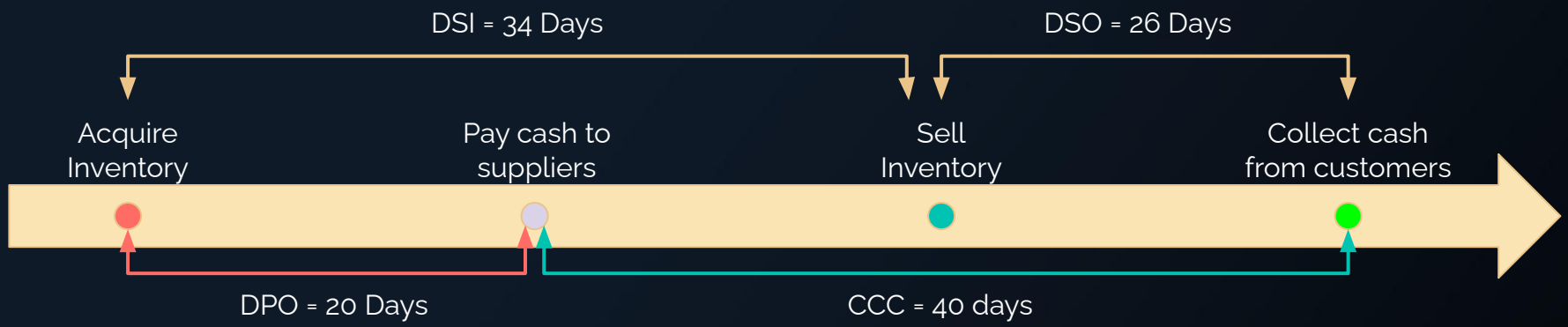
- Borrow Money (requires interest)
- Raise capital from investors (requires ROI)
- Use capital the company already has on hand (opportunity cost)

Day Sales in Inventory (DSI)



The longer the Cash Conversion Cycle, the longer the company will have capital tied up in inventory requiring financing.

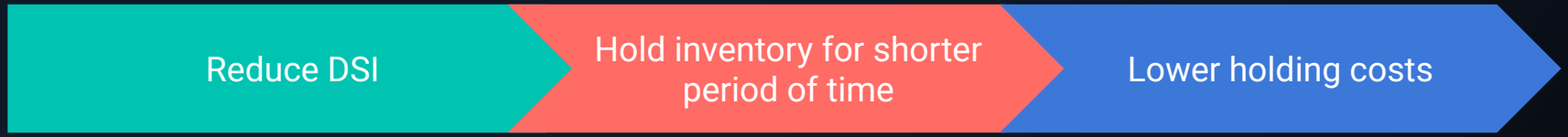
Day Sales in Inventory (DSI)



Negative Cash Conversion Cycle

- Company sells inventory and collects cash before they have to pay for it.
- Did you know: SM Supermarket sells inventory before they are required to pay for it!

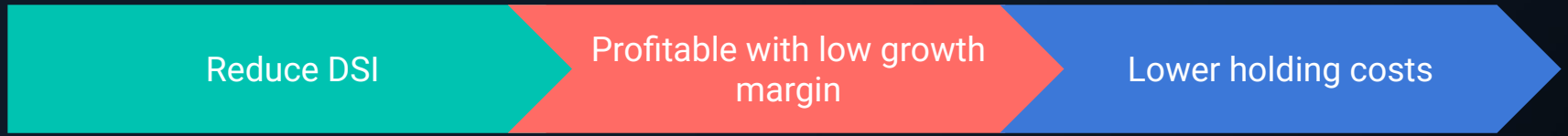
Day Sales in Inventory (DSI)



Inventory Holding Costs:

- Storing the inventory
- Insuring the inventory against loss
- Safeguarding the inventory with security measures
- Paying property taxes on inventory
- Reduces risk of obsolescence or spoilage
- Opportunity costs (paying for this instead of another project)

Day Sales in Inventory (DSI)



"High sales volume and rapid inventory turnover enable us to operate profitably at significantly lower gross margins (net sales less merchandise costs) than most other retailers."

Dealership A	Dealership B
10 cars sold / week	30 cars sold / week
PHP 100,000 markup / car	PHP 50,000 markup / car

Day Sales in Inventory (DSI)

Factors to consider in analyzing DSI:

- The company's DSI relative to industry
- Trends in company's DSI over time
- DSI in conjunction with other metrics
- Caveats that can make DSI misleading

Day Sales in Inventory (DSI)

Trends over time: An upward spike in DSI could mean –

- The company is having trouble selling its inventory:
  - Did it lose a major customer?
  - Is there a recession?
- The company poorly forecasted demand and it bought or produced too much inventory.
- The company deliberately stockpiled inventory in anticipation of high demand.

Day Sales in Inventory (DSI)

Factors to consider:

- The company's DSI relative to industry
- Trends in company's DSI over time
- DSI in conjunction with other metrics
- Caveats that can make DSI misleading

Day Sales in Inventory (DSI)

- How to reduce DSI
  - Better marketing
  - Better procurement
  - Better inventory management
  - Better information

Day Sales in Inventory (DSI)

- Better marketing
  - Marketing Mix: Product, Price, Promotion, Place
  - Have the right inventory at the right place at the right time with the right amount of promotion
  - Decreasing the price of a SKU
    - Lower price → Lower margins → Potential brand dilution
  - Price cut may be warranted if
    - The product was priced too aggressively
    - The company bought/produced too much inventory
    - Demand for the product is seasonal
    - Product is obsolete

Day Sales in Inventory (DSI)

- Better marketing
  - Lowering the product mix
    - Profit from new SKUs > Cost of tying up capital + Cost of holding more inventory
    - Replace slow moving SKUs with faster moving SKUs
    - Some groceries have limited selections:
      - Make larger purchases of each SKU and obtain volume discounts
      - Purchase inventory less frequently
      - Manage its inventory better
  - Placement
    - Slow moving inventory may become fast moving (impulse racks)
  - Promotion
    - Advertising (more ads, change channels, change demographic)

Day Sales in Inventory (DSI)

- Better Procurement
  - Lower prices from suppliers → Lower COGS → Higher Inventory Turnover → Higher DSI
  - A company can obtain better prices by:
    - Using supplier report cards (incentivize suppliers to improve performance and used as data for negotiations)
    - Consolidating vendors
    - Making sure vendors comply with contractual agreements
  - Make larger purchases from fewer suppliers
  - Shorter lead times → less safety stock → less capital tied up
  - Periodically review vendor agreements

Day Sales in Inventory (DSI)

- Better Inventory Management
  - “Cash Management Culture”
    - Before:
      - Buyers metric: sales closed → overpurchasing
      - Production metric: utilization → overproduction
    - After
      - Instead, reward actions that reduce DSI
      - e.g. Prioritize production runs of fast moving inventory
  - Leaner inventory
    - Smaller quantities more frequently (less safety stock)
    - Consider PROs and CONs
    - Too much inventory = Ties up Capital & Inc DSI
    - Too little Inventory = Less sales & unhappy customers

Day Sales in Inventory (DSI)

- Better Inventory Management
  - Leaner Inventory
    - Striking a balance:
      - Use local suppliers (higher price but shorter lead times)
      - Explore consignment arrangements (consigned goods are not part of your inventory)
      - Explore dropshipping arrangements
      - Identify and work with suppliers that allow you to return unsold inventory
  - Interview distribution centers & inventory locations
    - Consider consolidation
    - Put warehouses near high demand
  - Improving internal controls to avoid shrinkage

Day Sales in Inventory (DSI)

- Better Information
  - Managers need to know what to buy when to buy
  - Use Inventory management systems that can automate the inventory process (sends alerts or automatically reorder)
  - Use statistical models instead of instincts or “rules of thumb”
    - Model should ideally use past sales data and current economic data to spot trends and other changes in consumer behavior
  - Cross functional teams to do inventory planning
    - Not just production team or procurement team
    - e.g. Production team may not be aware of a new promotion being done by marketing
  - Buyers need to have access to real time information (so they don’t overstock for “safety”)
  - Improve accuracy of inventory counts

Day Sales in Inventory (DSI)

- Better Information
  - Improve accuracy of inventory counts
    - Usually costly so done once per year
    - Instead, do “cycle counts”
      - Count inventory by location
      - Prioritize inventory of SKUs based on popularity & turnover
      - ABC Analysis
        - A = high sales value + high turnover
        - B = high sales OR high turnover
        - C = low sales + low turnover
        - A is counted more frequently > B > C
      - Identify slow moving inventory and obsolete inventory
        - SALE!!!
        - Or return to supplier

Day Sales in Inventory (DSI)

- Better Information
  - Improve accuracy of inventory counts
    - Reconcile inventory as per accounting against actual inventory count
      - Are there SKUs that are responsible for the variances?
  - Improve inventory visibility
    - System should track inventory at all locations and updated in real time
  - Supplier portals
    - Suppliers offer to refill your stock instead of you having to call
  - Distinguish between:
    - Safety stock
    - Replenishment stock
    - Excess stock

Day Sales in Inventory (DSI)

- Better Information
    - Improve accuracy of inventory counts
        - Safety stocks
            - use statistical formula
            - Recalculate safety stock levels every 3-6 months
                - Amount of safety stock needed today may be different from amount of safety stock needed in the future
        - Identify excess inventory
            - Understand why you have excess
            - Plan how to not have excess again

Your Turn!

Turn to your seatmate and discuss the following questions:

1. Have you ever encountered a client who may have benefited from knowing the concept of DSI?
2. Provide more details about their problem and how lowering DSI could have solved their issues.
3. Provide concrete suggestions that can help your client.

Both of you should have a turn in answering all the above questions.

Day Sales Outstanding (DSO)

- Average number of days it takes a company to collect a customer receivable

$$\text{DSO} = \frac{365}{\text{Receivables Turnover}}$$

$$= \frac{365}{\left(\frac{\text{Total Credit Sales}}{\text{Average Net A/R}}\right)}$$

If using quarterly data, use `90` instead of `365`.

Day Sales Outstanding (DSO)

- Average number of days it takes a company to collect a customer receivable

$$\text{DSO} = \frac{365}{\text{Receivables Turnover}}$$

$$= \frac{365}{\left(\frac{\text{Total Credit Sales}}{\text{Average Net A/R}}\right)}$$

Get Total Credit Sales only, exclude Cash Sales

$$\text{Average Net A/R} = \frac{(\text{Beginning Net A/R} - \text{Ending Net A/R})}{2}$$

If using quarterly data, use `90` instead of `365`.

Day Sales Outstanding (DSO)

$$\text{DSO} = \frac{365}{\text{Receivables Turnover}}$$

$$= \frac{365}{\left(\frac{\text{Total Credit Sales}}{\text{Average Net A/R}}\right)}$$

Example:

- Total Credit Sales: ₱1,250,000
- Beginning Net A/R: ₱350,000
- Ending Net A/R: ₱150,000

Day Sales Outstanding (DSO)

GOOD:

↓ DSO = ↑ Receivables Turnover

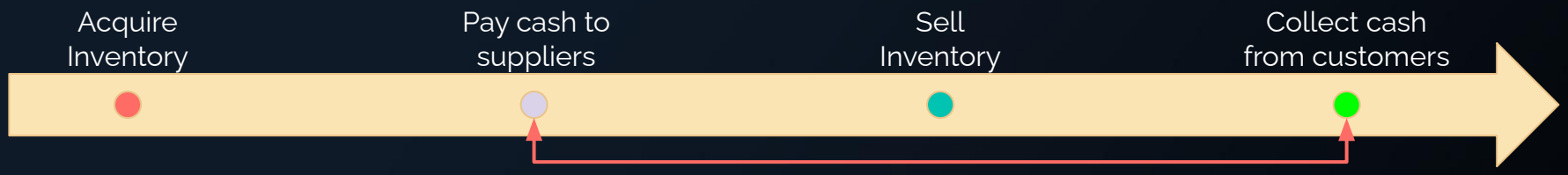
Collecting credit sales quickly!

Frees up cash (from A/R)
Reduces financing costs by shortening the CCC
Higher collection rate

Day Sales Outstanding (DSO)

GOOD:

↓ DSO = ↑ Receivables Turnover



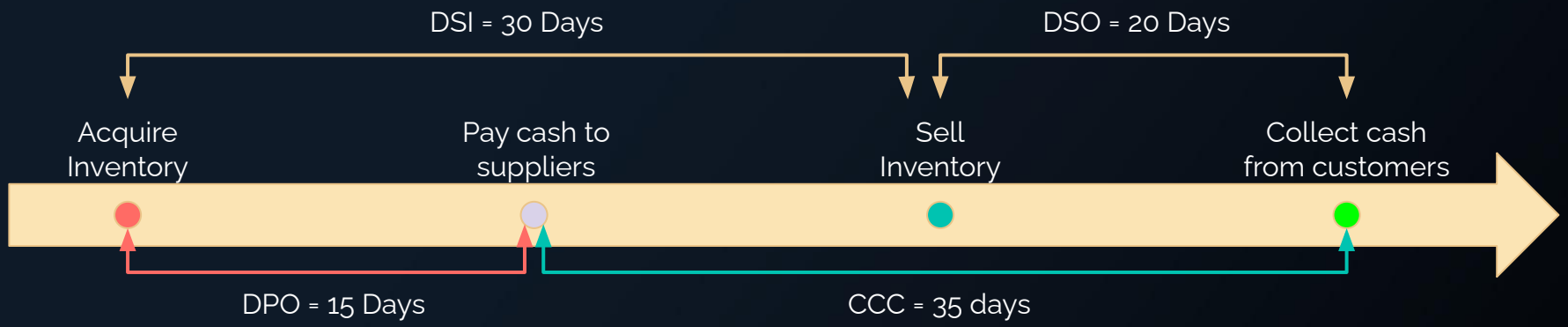
CASH CONVERSION CYCLE

(the number of days a company needs to finance its inventory)

Day Sales Outstanding (DSO)

GOOD:

↓ DSO = ↑ Receivables Turnover



Total Days of Financing needed (DSI + DSO) = 50 days
Days of Financing provided by suppliers (DPO) = 15 days
Remaining Days of Financing needed (CCC) = 35 days

Day Sales Outstanding (DSO)

Factors to consider in analyzing DSO:

- The company's DSO relative to industry
- Trends in company's DSO over time
- Caveats that can make DSO misleading

Day Sales Outstanding (DSO)

Factors to consider in analyzing DSO:

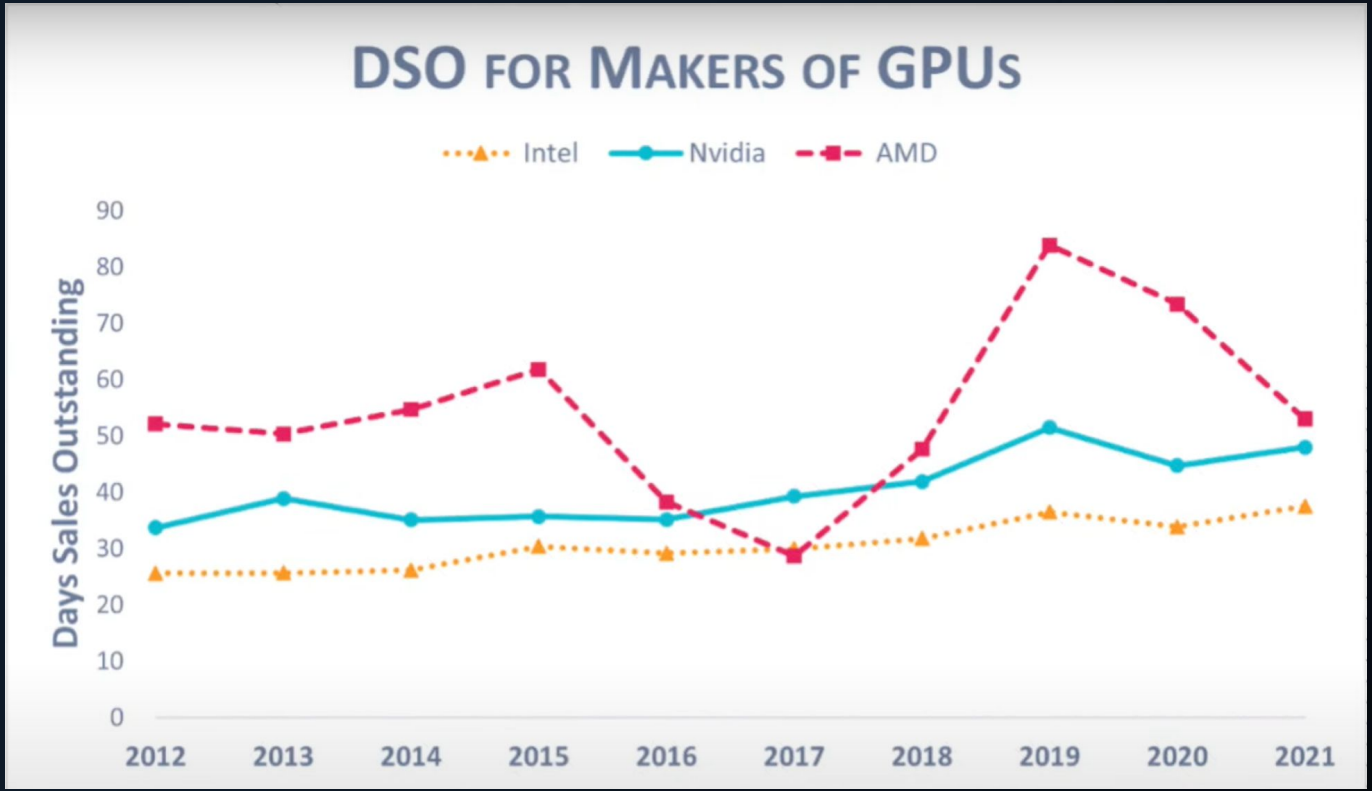
- The company's DSO relative to industry
  - Compare within industry only: standard credit terms in 1 industry may be unacceptable in another industry
  - e.g. DSO for GPU Makers in 2021
    - AMD: 53
    - Nvidia: 48
    - Intel: 38
  - How can Intel do this? Possible reasons:
    - Intel has superior credit collection policies
    - Intel is larger and uses its size in pursuing better credit terms
    - Intel uses a different strategy
    - Factoring (selling receivables)

Day Sales Outstanding (DSO)

Factors to consider in analyzing DSO:

- Company's DSO trend over time
  - If DSO is increasing, company is having trouble. Why?
    - Bad economic conditions
    - A big customer is experiencing problems
    - Relaxed credit policy
    - Discontinued policy of selling receivables

Day Sales Outstanding (DSO)



Day Sales Outstanding (DSO)

On Relaxing Credit Policies:

They do increase sales BUT:
Relaxed Credit Policy → Higher DSO → Higher Credit Losses

The company has to answer this question: Does the increase in profit outweigh the cost of waiting longer for payment and bearing the risk of higher credit losses?

Generally speaking, loosening credit standards is a sign of desperation and is a red flag for investors.

Day Sales Outstanding (DSO)

Factors to consider in analyzing DSO:

- Company's DSO trend over time
  - If DSO is increasing, company is having trouble. Why?
    - Bad economic conditions
    - A big customer is experiencing problems
    - Relaxed credit policy
    - Discontinued policy of selling receivables
    - Worst case:
      - Channel Stuffing
      - Fake sales (you can't collect this)
      - Converting AR to Notes (lowering DSO artificially but still not getting the cash)
    - Dig Deeper!

Day Sales Outstanding (DSO)

Factors to consider in analyzing DSO:

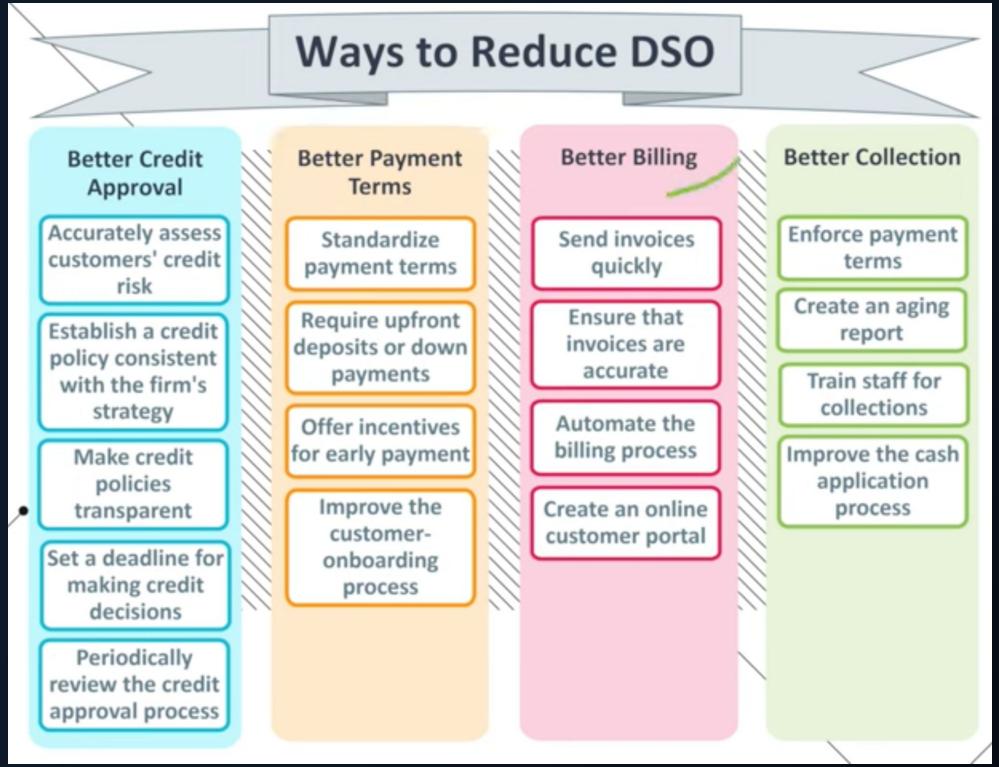
- Company's DSO trend over time
  - If DSO is increasing, company is having trouble. Why?
    - Bad economic conditions
    - A big customer is experiencing problems
    - Relaxed credit policy
    - Discontinued policy of selling receivables
    - Worst case:
      - Channel Stuffing
      - Fake sales (you can't collect this)
      - Converting AR to Notes (lowering DSO artificially but still not getting the cash)
    - Dig Deeper!

Day Sales Outstanding (DSO)

Factors to consider in analyzing DSO:

- Company's DSO trend over time
  - If DSO is increasing, company is having trouble. Why?
    - Bad economic conditions
    - A big customer is experiencing problems
    - Relaxed credit policy
    - Discontinued policy of selling receivables
    - Worst case:
      - Channel Stuffing
      - Fake sales (you can't collect this)
      - Converting AR to Notes (lowering DSO artificially but still not getting the cash)
    - Dig Deeper!

Day Sales Outstanding (DSO)



Your Turn!

Turn to your seatmate and discuss the following questions:

1. Have you ever encountered a client who may have benefited from knowing the concept of DSO?
2. Provide more details about their problem and how lowering DSO could have solved their issues.
3. Provide concrete suggestions that can help your client.

Both of you should have a turn in answering all the above questions.

Discuss!

Turn to your seatmate and discuss the following:

1. Can you identify a client that would benefit or would have benefited from improving their cash conversion cycle?
2. What was the business and what were the signs that they needed to improve their CCC?
3. Take turns discussing.
4. Share any insights you have gained in class.

Discuss!

Turn to your seatmate and discuss the following:

1. Can you identify a business that would benefit or would have benefited from improving their cash conversion cycle?
2. What was the business and what were the signs that they needed to improve their CCC?
3. Take turns discussing.
4. Share any insights you have gained in class.

Funding with Customer Cash

aka Success via a Negative Cash Conversion Cycle

**Mullens, John. Use Customer Cash to Finance Your Startup. Harvard Business Review, Jul-Aug 2013.*

Customer Cash



WHICH MODEL?	WHEN TO USE	HOW TO IMPLEMENT	WHAT TO WATCH OUT FOR	DEFINING EXAMPLES	NEW EXAMPLES
MATCHMAKER	C2C settings in which there's a need for a middleman who can connect buyers and sellers	Begin with a laserlike focus on a narrow market (Airbnb initially focused on conventiongoers). Expand from there.	A dearth of either buyers or sellers is a sign that you may have overestimated the need for the business. A balance of the two is essential.	Real estate brokers, eBay, Expedia	Airbnb, DogVacay, Zopa
DEPOSIT	B2B or B2C settings in which the work unfolds over time, rather than consisting of a single transaction	Just ask. Deposits are standard in many industries. Companies with new models can set their own standards.	If customers don't want to pay for your offering up front, they may not want it at all; you're probably on the wrong track.	Consultants, architects	Via, easyFairs, Studenterbolaget
SUBSCRIPTION	B2B or B2C settings in which consumables (organic vegetables, vitamins) or services (entertainment) are sold	Offer a short trial subscription and measure renewal rates.	Poor renewal rates? Demand may exist, but your offering isn't right yet.	Newspapers, cable channels, gyms	TutorVista, Massage Envy, Yammer
STANDARDIZE AND RESELL	B2B settings in which a custom service or product created for one client can be adapted and sold to a much larger group of customers	Labor-intensive processes don't scale. Develop technology or systems that can do what people have been doing manually.	You'll need patience: Offshoots will come later—perhaps much later—than your initial sale.	Microsoft	MapmyIndia, GoViral (now AOL's Be On)
SCARCITY	B2C settings involving rapid product or fashion obsolescence (apparel, jewelry)	Your assortment can be wide (Zara) or focused (Vente-privée) but not deep. When an item is gone, it's gone.	Avoid the temptation to reorder what sells well. Alter or build on it, but don't repeat it.	Zara	Vente-privée, Gilt, Privalia

WHICH MODEL?	WHEN TO USE	HOW TO IMPLEMENT	WHAT TO WATCH OUT FOR	DEFINING EXAMPLES	NEW EXAMPLES
MATCHMAKER	C2C settings in which there's a need for a middleman who can connect buyers and sellers	Begin with a laserlike focus on a narrow market (Airbnb initially focused on conventiongoers). Expand from there.	A dearth of either buyers or sellers is a sign that you may have overestimated the need for the business. A balance of the two is essential.	Real estate brokers, eBay, Expedia	Airbnb, DogVacay, Zopa
DEPOSIT	B2B or B2C settings in which the work unfolds over time, rather than consisting of a single transaction	Just ask. Deposits are standard in many industries. Companies with new models can set their own standards.	If customers don't want to pay for your offering up front, they may not want it at all; you're probably on the wrong track.	Consultants, architects	Via, easyFairs, Studenterbolaget
SUBSCRIPTION	B2B or B2C settings in which consumables (organic vegetables, vitamins) or services (entertainment) are sold	Offer a short trial subscription and measure renewal rates.	Poor renewal rates? Demand may exist, but your offering isn't right yet.	Newspapers, cable channels, gyms	TutorVista, Massage Envy, Yammer
STANDARDIZE AND RESELL	B2B settings in which a custom service or product created for one client can be adapted and sold to a much larger group of customers	Labor-intensive processes don't scale. Develop technology or systems that can do what people have been doing manually.	You'll need patience: Offshoots will come later—perhaps much later—than your initial sale.	Microsoft	MapmyIndia, GoViral (now AOL's Be On)
SCARCITY	B2C settings involving rapid product or fashion obsolescence (apparel, jewelry)	Your assortment can be wide (Zara) or focused (Vente-privée) but not deep. When an item is gone, it's gone.	Avoid the temptation to reorder what sells well. Alter or build on it, but don't repeat it.	Zara	Vente-privée, Gilt, Privalia

WHICH MODEL?	WHEN TO USE	HOW TO IMPLEMENT	WHAT TO WATCH OUT FOR	DEFINING EXAMPLES	NEW EXAMPLES
MATCHMAKER	C2C settings in which there's a need for a middleman who can connect buyers and sellers	Begin with a laserlike focus on a narrow market (Airbnb initially focused on conventiongoers). Expand from there.	A dearth of either buyers or sellers is a sign that you may have overestimated the need for the business. A balance of the two is essential.	Real estate brokers, eBay, Expedia	Airbnb, DogVacay, Zopa
DEPOSIT	B2B or B2C settings in which the work unfolds over time, rather than consisting of a single transaction	Just ask. Deposits are standard in many industries. Companies with new models can set their own standards.	If customers don't want to pay for your offering up front, they may not want it at all; you're probably on the wrong track.	Consultants, architects	Via, easyFairs, Studenterbolaget
SUBSCRIPTION	B2B or B2C settings in which consumables (organic vegetables, vitamins) or services (entertainment) are sold	Offer a short trial subscription and measure renewal rates.	Poor renewal rates? Demand may exist, but your offering isn't right yet.	Newspapers, cable channels, gyms	TutorVista, Massage Envy, Yammer
STANDARDIZE AND RESELL	B2B settings in which a custom service or product created for one client can be adapted and sold to a much larger group of customers	Labor-intensive processes don't scale. Develop technology or systems that can do what people have been doing manually.	You'll need patience: Offshoots will come later—perhaps much later—than your initial sale.	Microsoft	MapmyIndia, GoViral (now AOL's Be On)
SCARCITY	B2C settings involving rapid product or fashion obsolescence (apparel, jewelry)	Your assortment can be wide (Zara) or focused (Vente-privée) but not deep. When an item is gone, it's gone.	Avoid the temptation to reorder what sells well. Alter or build on it, but don't repeat it.	Zara	Vente-privée, Gilt, Privalia

WHICH MODEL?	WHEN TO USE	HOW TO IMPLEMENT	WHAT TO WATCH OUT FOR	DEFINING EXAMPLES	NEW EXAMPLES
MATCHMAKER	C2C settings in which there's a need for a middleman who can connect buyers and sellers	Begin with a laserlike focus on a narrow market (Airbnb initially focused on conventiongoers). Expand from there.	A dearth of either buyers or sellers is a sign that you may have overestimated the need for the business. A balance of the two is essential.	Real estate brokers, eBay, Expedia	Airbnb, DogVacay, Zopa
DEPOSIT	B2B or B2C settings in which the work unfolds over time, rather than consisting of a single transaction	Just ask. Deposits are standard in many industries. Companies with new models can set their own standards.	If customers don't want to pay for your offering up front, they may not want it at all; you're probably on the wrong track.	Consultants, architects	Via, easyFairs, Studenterbolaget
SUBSCRIPTION	B2B or B2C settings in which consumables (organic vegetables, vitamins) or services (entertainment) are sold	Offer a short trial subscription and measure renewal rates.	Poor renewal rates? Demand may exist, but your offering isn't right yet.	Newspapers, cable channels, gyms	TutorVista, Massage Envy, Yammer
STANDARDIZE AND RESELL	B2B settings in which a custom service or product created for one client can be adapted and sold to a much larger group of customers	Labor-intensive processes don't scale. Develop technology or systems that can do what people have been doing manually.	You'll need patience: Offshoots will come later—perhaps much later—than your initial sale.	Microsoft	MapmyIndia, GoViral (now AOL's Be On)
SCARCITY	B2C settings involving rapid product or fashion obsolescence (apparel, jewelry)	Your assortment can be wide (Zara) or focused (Vente-privée) but not deep. When an item is gone, it's gone.	Avoid the temptation to reorder what sells well. Alter or build on it, but don't repeat it.	Zara	Vente-privée, Gilt, Privalia

WHICH MODEL?	WHEN TO USE	HOW TO IMPLEMENT	WHAT TO WATCH OUT FOR	DEFINING EXAMPLES	NEW EXAMPLES
MATCHMAKER	C2C settings in which there's a need for a middleman who can connect buyers and sellers	Begin with a laserlike focus on a narrow market (Airbnb initially focused on conventiongoers). Expand from there.	A dearth of either buyers or sellers is a sign that you may have overestimated the need for the business. A balance of the two is essential.	Real estate brokers, eBay, Expedia	Airbnb, DogVacay, Zopa
DEPOSIT	B2B or B2C settings in which the work unfolds over time, rather than consisting of a single transaction	Just ask. Deposits are standard in many industries. Companies with new models can set their own standards.	If customers don't want to pay for your offering up front, they may not want it at all; you're probably on the wrong track.	Consultants, architects	Via, easyFairs, Studenterbolaget
SUBSCRIPTION	B2B or B2C settings in which consumables (organic vegetables, vitamins) or services (entertainment) are sold	Offer a short trial subscription and measure renewal rates.	Poor renewal rates? Demand may exist, but your offering isn't right yet.	Newspapers, cable channels, gyms	TutorVista, Massage Envy, Yammer
STANDARDIZE AND RESELL	B2B settings in which a custom service or product created for one client can be adapted and sold to a much larger group of customers	Labor-intensive processes don't scale. Develop technology or systems that can do what people have been doing manually.	You'll need patience: Offshoots will come later—perhaps much later—than your initial sale.	Microsoft	MapmyIndia, GoViral (now AOL's Be On)
SCARCITY	B2C settings involving rapid product or fashion obsolescence (apparel, jewelry)	Your assortment can be wide (Zara) or focused (Vente-privée) but not deep. When an item is gone, it's gone.	Avoid the temptation to reorder what sells well. Alter or build on it, but don't repeat it.	Zara	Vente-privée, Gilt, Privalia

WHICH MODEL?	WHEN TO USE	HOW TO IMPLEMENT	WHAT TO WATCH OUT FOR	DEFINING EXAMPLES	NEW EXAMPLES
MATCHMAKER	C2C settings in which there's a need for a middleman who can connect buyers and sellers	Begin with a laserlike focus on a narrow market (Airbnb initially focused on conventiongoers). Expand from there.	A dearth of either buyers or sellers is a sign that you may have overestimated the need for the business. A balance of the two is essential.	Real estate brokers, eBay, Expedia	Airbnb, DogVacay, Zopa
DEPOSIT	B2B or B2C settings in which the work unfolds over time, rather than consisting of a single transaction	Just ask. Deposits are standard in many industries. Companies with new models can set their own standards.	If customers don't want to pay for your offering up front, they may not want it at all; you're probably on the wrong track.	Consultants, architects	Via, easyFairs, Studenterbolaget
SUBSCRIPTION	B2B or B2C settings in which consumables (organic vegetables, vitamins) or services (entertainment) are sold	Offer a short trial subscription and measure renewal rates.	Poor renewal rates? Demand may exist, but your offering isn't right yet.	Newspapers, cable channels, gyms	TutorVista, Massage Envy, Yammer
STANDARDIZE AND RESELL	B2B settings in which a custom service or product created for one client can be adapted and sold to a much larger group of customers	Labor-intensive processes don't scale. Develop technology or systems that can do what people have been doing manually.	You'll need patience: Offshoots will come later—perhaps much later—than your initial sale.	Microsoft	MapmyIndia, GoViral (now AOL's Be On)
SCARCITY	B2C settings involving rapid product or fashion obsolescence (apparel, jewelry)	Your assortment can be wide (Zara) or focused (Vente-privée) but not deep. When an item is gone, it's gone.	Avoid the temptation to reorder what sells well. Alter or build on it, but don't repeat it.	Zara	Vente-privée, Gilt, Privalia

Discuss!

Let's discuss as a group:

- Is there a business model that makes sense for your startup that would allow you to have a negative cash conversion cycle?

Thanks!

Any questions?

10

Tax 101

Understanding Taxes

Discuss!

Turn to your seatmate and discuss the following:

1. In the last 5 days what would you say were your Top 3 realizations that you feel will bring the most value to your clients or would create the most impact to your work?
2. Is there anything you learned here that you are also excited to apply to your personal life?

Learning Check

https://bit.ly/fi201-day5



Thanks!

End of Day 4

99

The Annex

This and following slides are hidden.

What are we working on?



Retail

Neptune is the farthest planet from the Sun and the fourth-largest



Residential

Mercury is the closest planet to the Sun and the smallest of them all



Hospitality

Saturn is a gas giant with a radius of about nine times that on Earth

Contents of this template

Here's what you'll find in this **Slidesgo** template:

1. A slide structure based on a project proposal, which you can easily adapt to your needs. For more info on how to edit the template, please visit **Slidesgo School** or read our **FAQs**.
2. An assortment of graphic resources that are suitable for use in the presentation can be found in the **alternative resources slide**.
3. A **thanks slide**, which you must keep so that proper credits for our design are given.
4. In the **resources slide**, where you'll find links to all the elements used in the template.
5. **Instructions for use**.
6. Final slides with:
    - The **fonts and colors** used in the template.
    - A **selection of illustrations.** You can also customize and animate them as you wish with the online editor. Visit **Storyset** to find more.
    - More **infographic resources**, whose size and color can be edited.
    - Sets of **customizable icons** of the following themes: general, business, avatar, creative process, education, help & support, medical, nature, performing arts, SEO & marketing, and teamwork.

You can delete this slide when you're done editing the presentation.

Whoa!

This can be the part of the presentation where you can introduce yourself

Table of contents

01
About the project
You can describe the topic of the section here

02
Requirements
You can describe the topic of the section here

03
Project goals
You can describe the topic of the section here

04
Sneak peek
You can describe the topic of the section here

05
Project stages
You can describe the topic of the section here

06
Our team
You can describe the topic of the section here

Introduction

Do you know what helps you make your point clear? Lists like this one:

- They're simple
- You can organize your ideas clearly
- You'll never forget to buy milk!

And the most important thing: the audience won't miss the point of your presentation

01

About the project

You can enter a subtitle here if you need it

Our company

Mercury is the smallest planet in the Solar System and the closest to the Sun. Its orbit around the Sun takes 87.97 Earth days, the shortest of all

What are we working on?



Retail

Neptune is the farthest planet from the Sun and the fourth-largest



Residential

Mercury is the closest planet to the Sun and the smallest of them all



Hospitality

Saturn is a gas giant with a radius of about nine times that on Earth

About the project

Fifth in line from the Sun, Jupiter is, by far, the largest planet in the Solar System—more than twice as massive as all the other planets combined

“This is a quote, words full of wisdom that someone important said and can make the reader get inspired.”

—Someone famous



Now

Saturn is unique among the planets. It is not the only planet to have rings—made of chunks of ice and rock—but none are as spectacular or as complicated as Saturn's

Future

Venus is the second planet from the Sun and is Earth's closest planetary neighbor. It's one of the four inner, terrestrial (or rocky) planets, and it's often called Earth's twin



Who are the stakeholders of a company?



Neptune

It's the eighth and farthest-known solar planet from the Sun



Venus

Venus has a beautiful name, but also very high temperatures



Mercury

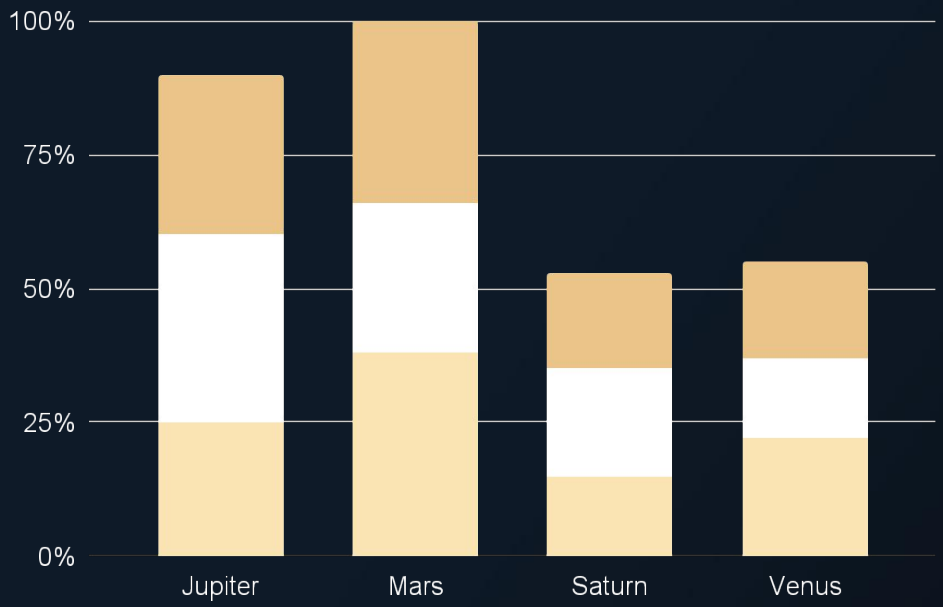
Mercury is the closest planet to the Sun and the smallest of them all



Saturn

Saturn is a gas giant with a radius of about nine times that on Earth

Budget



September

It's the fifth planet from the Sun and the largest

October

It's the eighth and farthest known solar planet

November

Saturn is a gas giant with a radius of about nine times

Follow the link in the graph to modify its data and then paste the new one here. **For more info, click here**

A picture always reinforces the concept

Images reveal large amounts of data, so remember: use an image instead of a long text. Your audience will appreciate it



Niche market

Target 1

It's the fifth planet from the Sun and the largest

Target 2

It's the eighth and farthest known solar planet



325,458,700

Big numbers catch your audience's attention

Project goals

Neptune

It's the eighth and farthest-known solar planet from the Sun

Venus

Venus has a beautiful name, but also very high temperatures

Saturn

Saturn is a gas giant with a radius of about nine times that on Earth

Jupiter

It's the fifth planet from the Sun and the largest in the Solar System

Mercury

Mercury is the closest planet to the Sun and the smallest of them all

Mars

It's the fourth planet from the Sun and it's a cold place

Awesome words

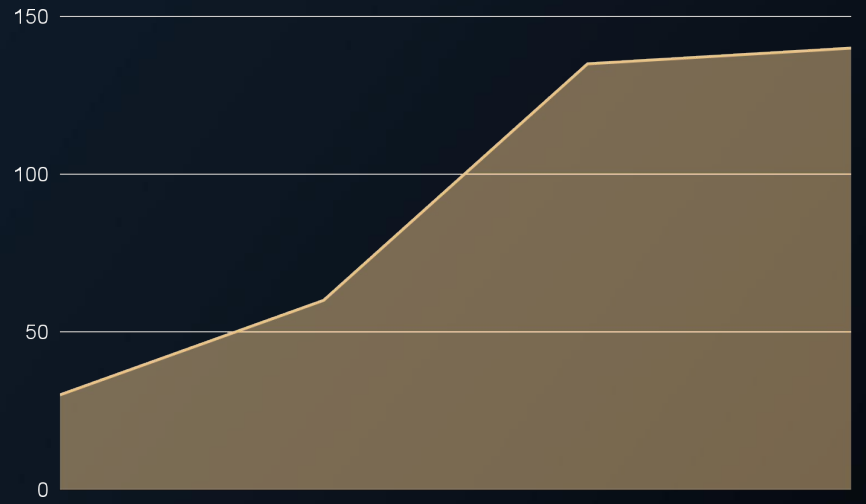
Predicted results

$35,000

Expected income for 2022

10,000

Potential buyers next year



Follow the link in the graph to modify its data and then paste the new one here. **For more info, click here**

04

Sneak peek

You can enter a subtitle here if you need it

Sneak peek



You can replace the image on the screen with your own work. Just right-click on it and select “Replace image”

Sneak peek

You can replace the image on the screen with your own work. Just right-click on it and select “Replace image”



A picture is worth a thousand words



Project stages

		Phase 1	Phase 2
	Stage 1	Jupiter is the biggest planet	It's a gas giant and has several rings
	Stage 2	Neptune is very far away from us	Despite being red, Mars is a cold place
	Stage 3	Mercury is the smallest planet	Venus has a beautiful name

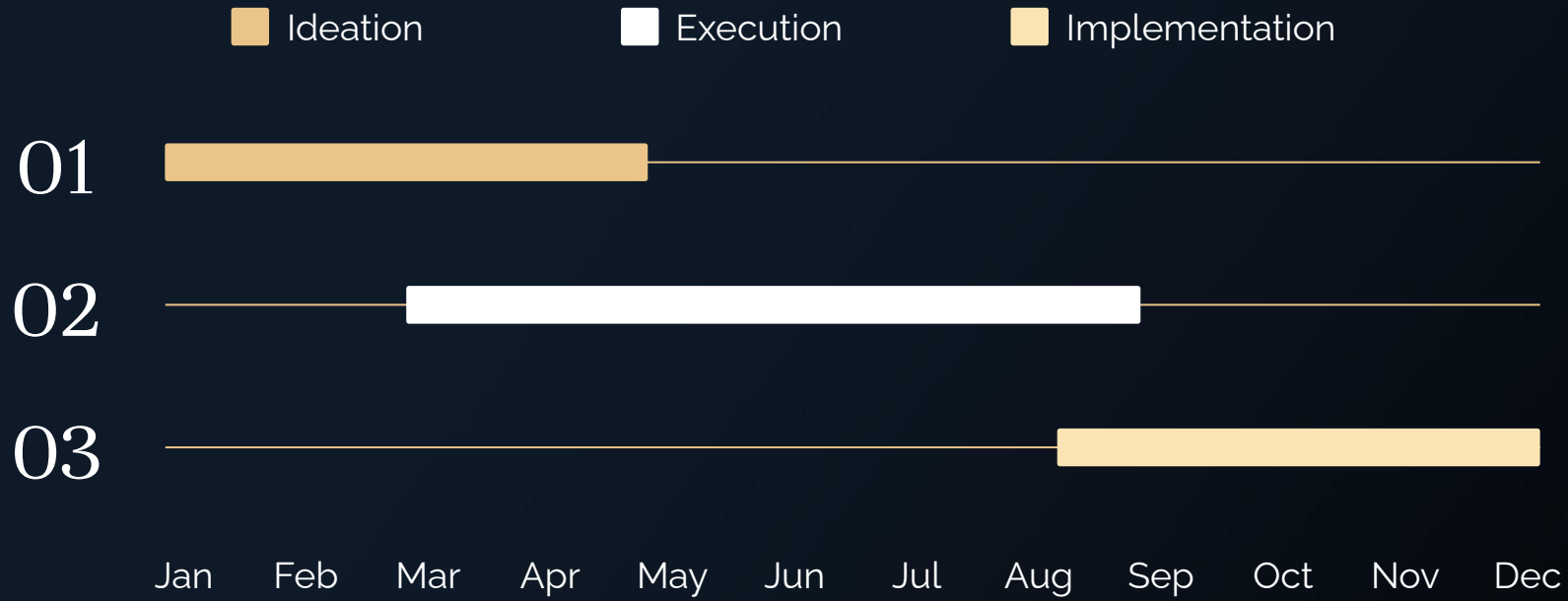
333,000.000

Jupiter is the biggest planet of them all

1,111,100 m

Earth is the planet where we live on

Project timeline 2022



Our partners



Jupiter

It's the fifth planet from the Sun and the largest in the Solar System



Mercury

Mercury is the closest planet to the Sun and the smallest of them all

SWOT analysis

Strengths

It's the eighth and farthest-known solar planet from the Sun

Weaknesses

It's the fifth planet from the Sun and the largest in the Solar System



Threats

Saturn is a gas giant with a radius of about nine times that on Earth

Opportunities

It's the fourth planet from the Sun and it's a cold place

Our team



Sophia Hill

You can talk a bit about this person here



Timmy Jimmy

You can talk a bit about this person here



Sarah Brown

You can talk a bit about this person here

Thanks!



Do you have any questions?
your-email@freepik.com
+91 620 421 838 | yourcompany.com

Credits: This presentation template was created by **Slidesgo**, including icons by **Flaticon**, and infographics & images by **Freepik**

Please keep this slide for attribution

Icon pack: startups | filled



Alternative resources

Here's an assortment of alternative resources whose style fits that of this template:

Vectors:

- Infographic template with linear map
- First communion blue elements

Photos:

- Man holding the bible on the table
- Side view of woman praying with bible
- Front view of woman praying with bible
- Priest holding holy cross on hands
- Woman reading the bible indoors I
- Woman reading the bible indoors II
- Top view hands holding holy necklace
- Woman praying for her loved ones

Resources

Did you like the resources on this template? Get them for free at our other websites:

Vectors:

- Gradient golden luxury business cards template
- Linear hungary map infographic

Photos:

- Businesswoman
- Team meeting at office mock-up
- Close up teamwork concept
- High angle corporate meeting mock-up
- Portrait of gorgeous woman

Photos:

- Confident middle aged man portrait
- Portrait of smiley woman posing next to her colleagues

Icons:

- Icon Pack: Startups | Filled

Instructions for use

In order to use this template, you must credit **Slidesgo** by keeping the **Thanks** slide.

You are allowed to:

- Modify this template.
- Use it for both personal and commercial projects.

You are not allowed to:

- Sublicense, sell or rent any of Slidesgo Content (or a modified version of Slidesgo Content).
- Distribute Slidesgo Content unless it has been expressly authorized by Slidesgo.
- Include Slidesgo Content in an online or offline database or file.
- Offer Slidesgo templates (or modified versions of Slidesgo templates) for download.
- Acquire the copyright of Slidesgo Content.

For more information about editing slides, please read our FAQs or visit Slidesgo School:

https://slidesgo.com/faqs and https://slidesgo.com/slidesgo-school

Instructions for use (premium users)

As a Premium user, you can use this template without attributing **Slidesgo** or keeping the "Thanks" slide.

You are allowed to:

- Modify this template.
- Use it for both personal and commercial purposes.
- Hide or delete the “Thanks” slide and the mention to Slidesgo in the credits.
- Share this template in an editable format with people who are not part of your team.

You are not allowed to:

- Sublicense, sell or rent this Slidesgo Template (or a modified version of this Slidesgo Template).
- Distribute this Slidesgo Template (or a modified version of this Slidesgo Template) or include it in a database or in any other product or service that offers downloadable images, icons or presentations that may be subject to distribution or resale.
- Use any of the elements that are part of this Slidesgo Template in an isolated and separated way from this Template.
- Register any of the elements that are part of this template as a trademark or logo, or register it as a work in an intellectual property registry or similar.

For more information about editing slides, please read our FAQs or visit Slidesgo School:

https://slidesgo.com/faqs and https://slidesgo.com/slidesgo-school

Fonts & colors used

This presentation has been made using the following fonts:

Unna
(https://fonts.google.com/specimen/Unna)

Raleway
(https://fonts.google.com/specimen/Raleway)



Storyset

Create your Story with our illustrated concepts. Choose the style you like the most, edit its colors, pick the background and layers you want to show and bring them to life with the animator panel! It will boost your presentation. Check out How it Works.



Pana



Amico



Bro



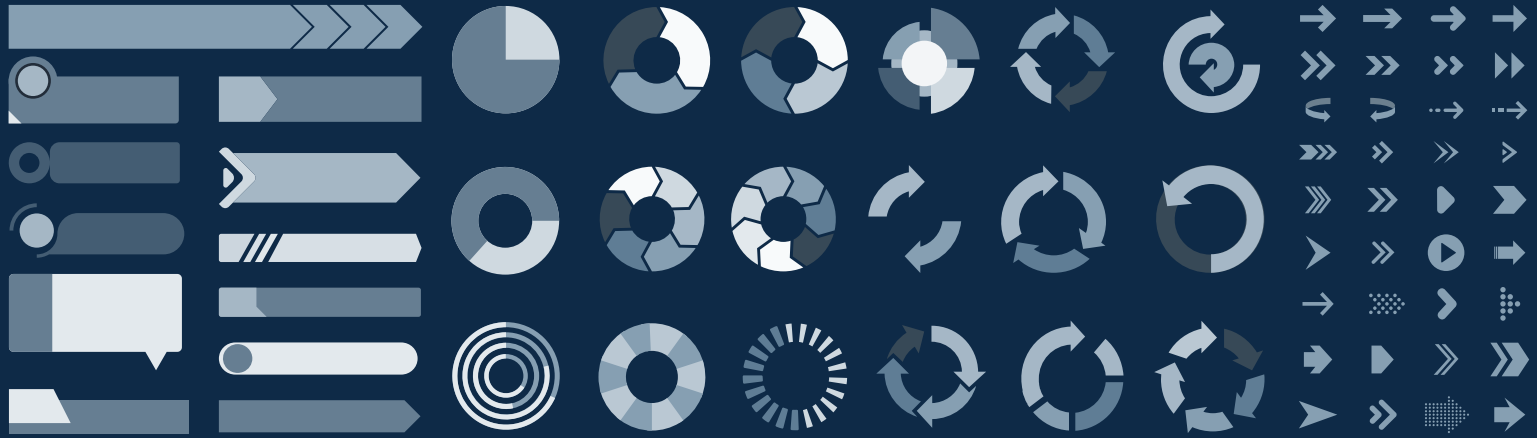
Rafiki



Cuate

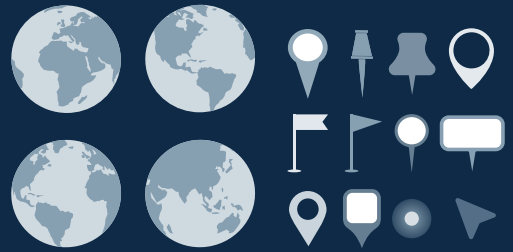
Use our editable graphic resources...

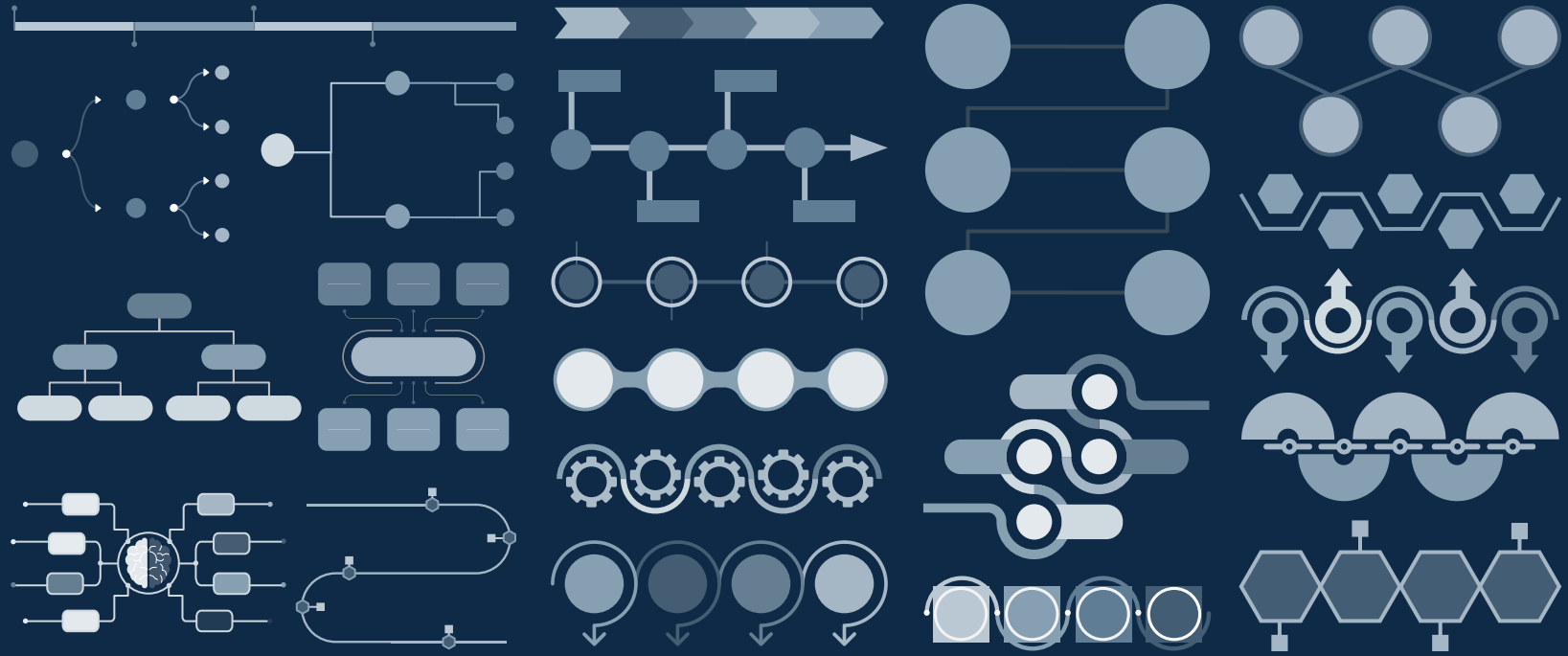
You can easily resize these resources without losing quality. To change the color, just ungroup the resource and click on the object you want to change. Then, click on the paint bucket and select the color you want. Group the resource again when you're done. You can also look for more infographics on Slidesgo.

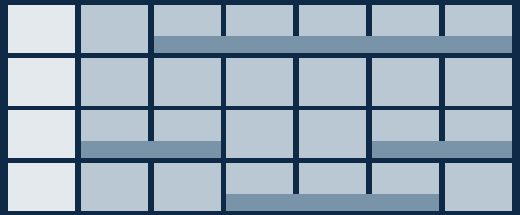


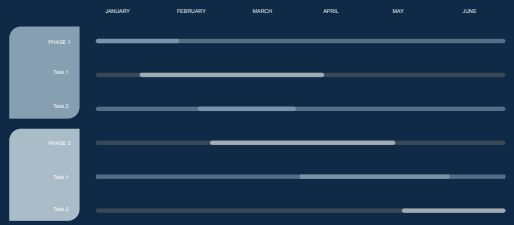


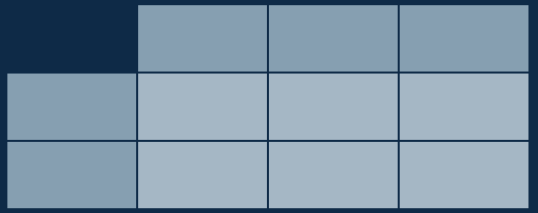


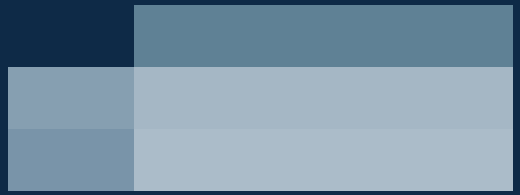



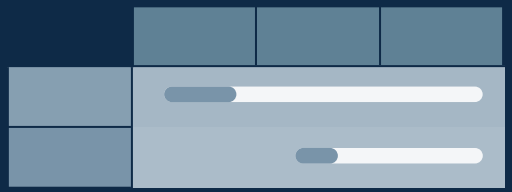


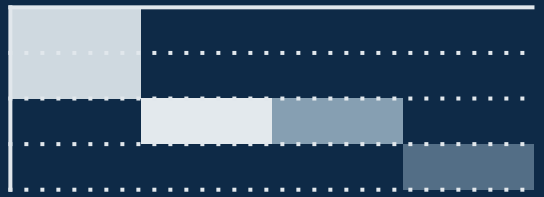



JANUARY
FEBRUARY
MARCH
APRIL
MAY
JUNE
PHASE 1
Task 1
Task 2
PHASE 2
Task 1
Task 2



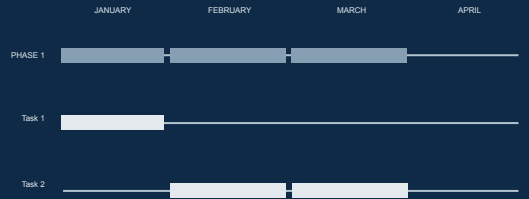


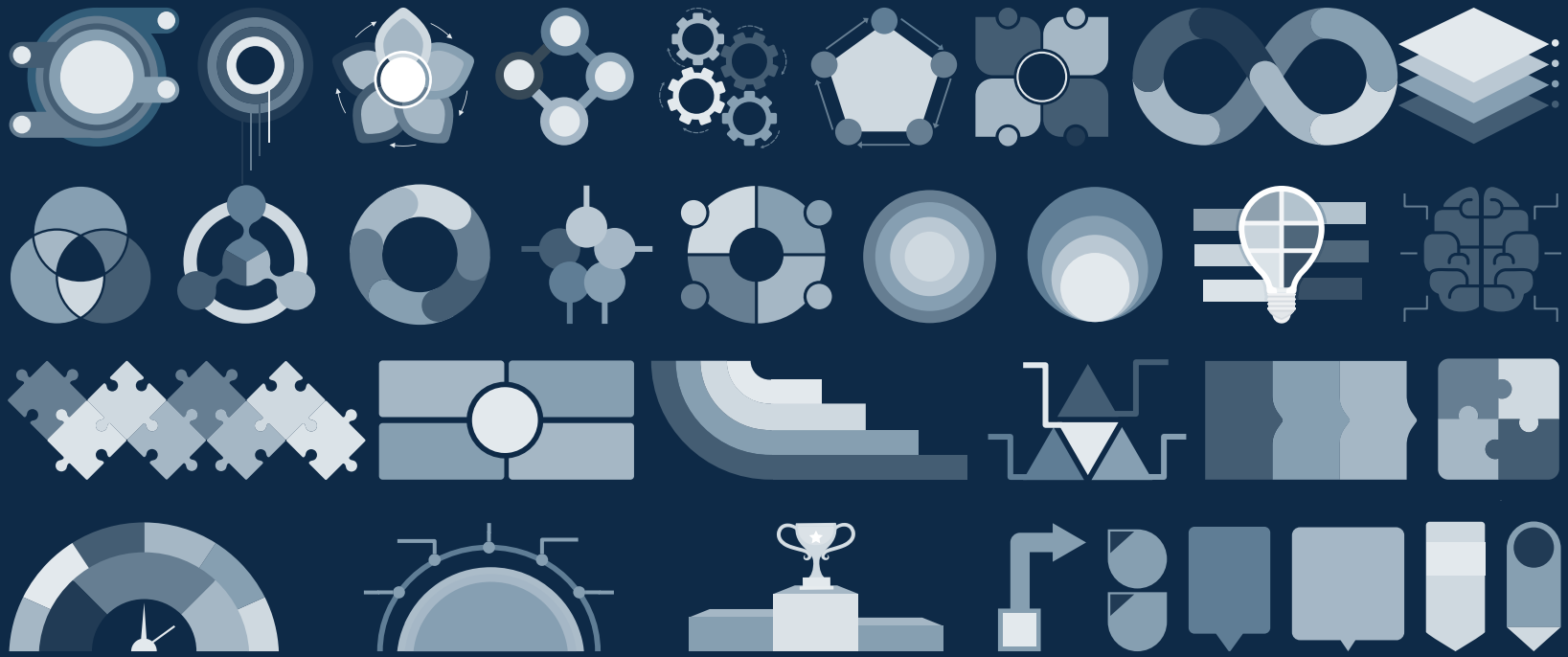









JANUARY
FEBRUARY
MARCH
APRIL
PHASE 1
Task 1
Task 2





...and our sets of editable icons

You can resize these icons without losing quality.
You can change the stroke and fill color; just select the icon and click on the paint bucket/pen.
In Google Slides, you can also use Flaticon's extension, allowing you to customize and add even more icons.



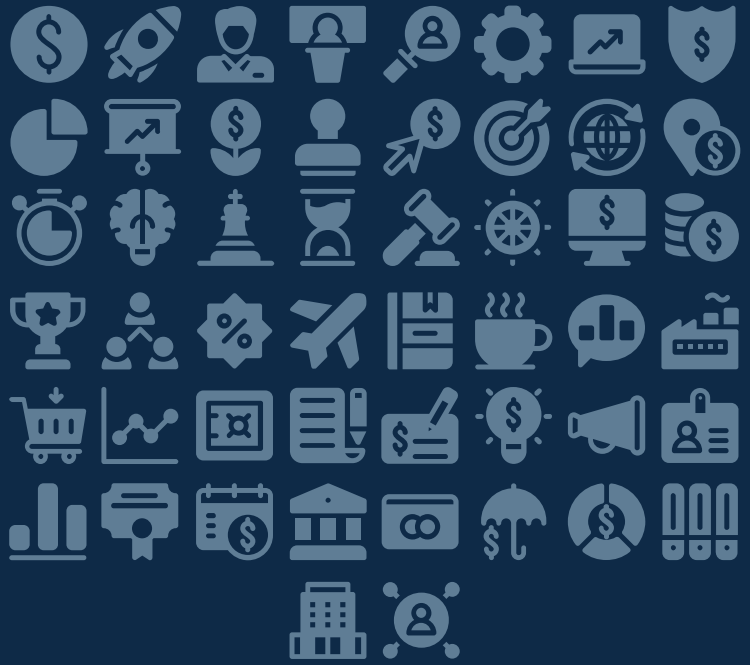
Educational Icons



Medical Icons



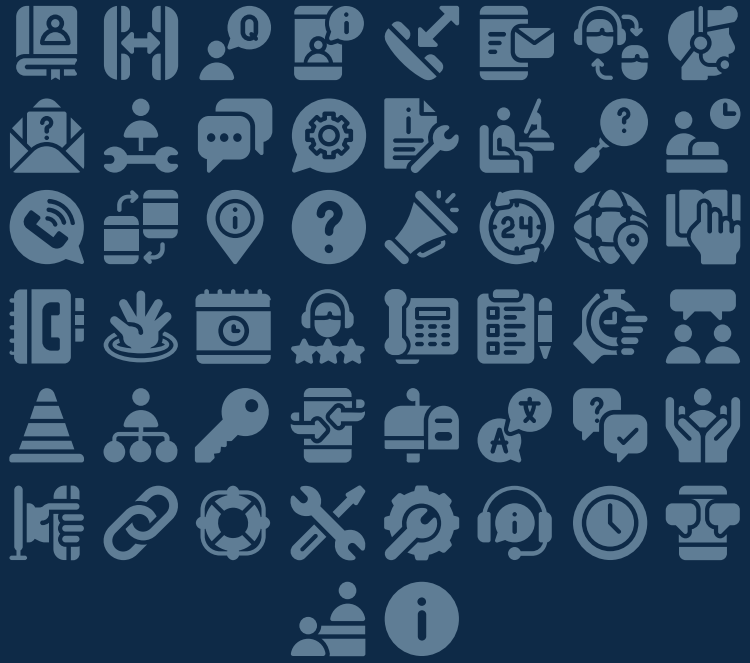
Business Icons



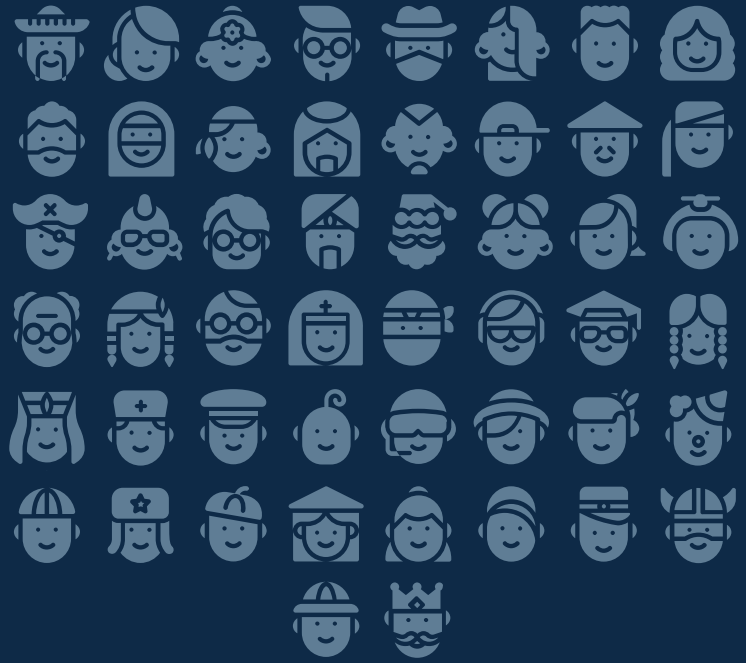
Teamwork Icons



Help & Support Icons



Avatar Icons



Creative Process Icons



Performing Arts Icons



Nature Icons



SEO & Marketing Icons




slidesgo